



PHOTO BY VARUN GUPTA

PAIN POINT Realtors will have to absorb rising costs for projects that have already been sold but not completed

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57 per cent, copper by 75-80 per cent, aluminium by 90-94 per cent, and PVC items by 80-90 per cent. But most importantly, it is the rise in fuel prices—45-50 per cent—that is hurting the most,” he says. Furthermore, in the aftermath of the Covid-19 pandemic, the cost of labour has also gone up by 10-15 per cent.

Hiranandani says the burden of increased cost is hurting everybody but its impact may be greater on the affordable housing sector as cost of construction material is higher in such projects.

Pradeep Aggarwal, Founder and Chairman of affordable housing major Signature Global and Chairman of the Assocham National Council on Real Estate, Housing and Urban Development, says the Covid-19-related disruptions were a matter of concern for the developers since prices were going up during 2020 and 2021. But the Russia-Ukraine war has further aggravated the situation. “In the past three months alone, cost of construction has jumped by 5-7 per cent. This is in addition to the 4-5 per cent rise that we witnessed in the previous six months. The only respite is the high demand for residential units that we are witnessing post-Covid-19. Thus, the price hikes that we have implemented so far have been absorbed by the consumers,” he says. For instance, Signature Global’s residential projects in Gu-

rugram that were initially launched at a rate of ₹4,750 per sq. ft was raised to ₹5,500 per sq. ft from April 1—a 16 per cent hike. In spite of that, demand has not been affected, he claims.

Like the residential sector operators, the impact has also been felt by commercial property developers. According to K. Jayakumar, Senior Managing Director at RMZ Corp, who leads its commercial business segment, cost of construction has surged by 15-16 per cent since early 2020.

IN THE AFFORDABLE HOUSING space, passing on additional costs to homebuyers is not that easy, though. With a pre-decided cap on the rate by state authorities, developers are bound to deliver homes at the stipulated rate. Developers such as Signature Global, which primarily operate in the Haryana market, have got some respite from the state government. To offset the additional costs, Aggarwal of Signature Global says, the Haryana authorities’ move to add balcony area in calculating the floor size helped. The cap of ₹4,000 per sq. ft on the affordable housing space was also raised to ₹4,200 per sq. ft. Together, these two measures have led to a 7 per cent rise in prices of affordable homes in the